Indian Financial Statements Studio, version 3.7 - Manual and limitations

A step-by-step guide in very simple words is in **User_Guide.md** (also the User Guide tab in the software). Techmin HR Solutions. Single HTML file; works offline; data stays in your browser (IndexedDB) with an optional save-file on your computer, the same method as the other Techmin tools. Not deployed.

What is included

Entities and financial years; chart of accounts with statement-line, current/non-current and cash-flow classes; trial balance (opening, debit, credit); journal adjustments kept separate from the source TB; fixed-asset register; accounting depreciation (SLM/WDV, day-based, impairment, disposal) and income-tax block depreciation; Balance Sheet, Profit and Loss, Changes in Equity, comparatives; Cash Flow (indirect and direct); Fund Flow; Notes to Accounts; ratios; Provisional, Estimated and Projected accounts with scenarios; Compliance Configuration wizard (8 screens, numbered unchangeable revisions); Compliance Rules Library (versioned, verification tracking); validation engine; Reports workflow with saved snapshots; PDF, Excel, CSV and JSON export; backup and restore; audit log; 300+ automated engine tests plus browser tests.

Suggested order of work

1. **Create the entity.** Tick the business activity (Trading, Manufacturing, Services, Contracting and construction, Agriculture and allied, Other) and describe the business. At least one is required. Tick which of the Provisional, Estimated and Projected accounts you need; leave them unticked if you do not.
2. **Financial year and Chart of Accounts.** Map every ledger to a statement line. For a trading or manufacturing business, tick "Direct expense" on ledgers such as carriage inwards, loading and unloading, direct wages and factory expenses. Use the template ledgers for the activity you ticked.
3. **Opening balances.** From the second year onward they come automatically from the previous year's closing balances (see below). In the first year, enter them in the Trial Balance.
4. **Current year trial balance.** Fill the debit and credit columns for the year.
5. **Adjustments.** Journals, Fixed Assets, Depreciation (post the depreciation journal), Taxes, and the closing stock (Trading and P&L tab).

6. **Current year financial statements.** Balance Sheet, Profit and Loss, Trading and P&L Account (trading businesses), Cash Flow, Fund Flow, Notes, Ratios. Resolve alerts first. 6a. **Partnership firm or LLP:** open P&L Appropriation, enter the partners and the year's figures, and check that the partners' accounts agree to the balance sheet.
7. **Provisional, Estimated and Projected accounts.** Only the ones you ticked appear. They are prepared from the current year statements, so finish step 6 first. A banner (FS-E109) tells you if the statements are not ready.
8. **Compliance Configuration and Reports.** Create the profile, answer questions, validate, preview, save a snapshot and export. The Dashboard shows this order as a workflow panel with ticks.

How the key rules work

- Nothing is plugged. A difference is shown and flagged.
- Money is held in paise; negatives print in brackets.
- Saved profile revisions and saved report snapshots never change. Editing makes a new revision or version.
- Estimated and projected cash comes only from the cash flow, so the balance sheet balances by construction.
- Working-copy exports from the statement screens carry a "compliance profile not applied" banner.

Consolidation (new)

Open the Consolidation tab on the parent entity. Add each subsidiary, associate or joint venture (each must be an entity in this app with a same-dated financial year and a trial balance). For each enter: group's interest %, date of acquisition, the entity's total equity at acquisition, cost of investment and the ledger that holds it, dividend declared this year and the ledger where the group booked the dividend income. Add inter-company eliminations as a debit ledger, a credit ledger and an amount.

- Subsidiary: line-by-line, goodwill (or capital reserve) on consolidation, non-controlling interest (opening, share of profit, dividends), goodwill impairment.
- Associate: equity method (share of profit, post-acquisition reserves, dividends reduce the investment).
- Joint venture: proportionate consolidation.
- The consolidated Balance Sheet, P&L (with profit attributable to owners and NCI), Changes in Equity, Cash Flow, Fund Flow, Notes, consolidated trial balance and a workings schedule are produced and checked. Nothing is plugged: if the group does not balance you see the difference.
- Next year use "Roll forward" to carry the group set-up (impairment to date is carried; dividends and eliminations are cleared).

- In the Compliance Configuration and Reports screens choose Basis: Consolidated. Profiles and saved reports for standalone and consolidated are kept separately. Consolidation limits: no part-year consolidation (acquisition or disposal after the start of the year is blocked); partial goodwill method only; no deferred tax on eliminations or fair-value adjustments; no foreign-currency translation; OCI of subsidiaries is not split with NCI; entities held through an intermediate company (multi-level) show a warning because the intermediate company's NCI is not recomputed; share of profit of associates is shown inside Other income; uniform policies and year-ends are assumed. Review the workings before any statutory use.

Keeping the rules current

Open Compliance Rules Library. Use "Save as a new version" with a later effective date when a notification changes. The old version is closed, not deleted. Profiles saved under an older library are flagged for reassessment. Mark a rule verified only after checking the official source (links are in each rule).

What is new in version 3.7

- **Schedules** tab: the break-up of every statement line, ledger by ledger. A schedule figure can be changed; the Balance Sheet and Profit and Loss do not change, the difference is shown and recorded in the audit log, and the warning FS-E711 appears in the Notes, PDF and Excel. Reset one row or all.
- **Tally Import** tab: choose a Tally XML export. Preview shows new ledgers, opening balances, vouchers to import and those left out (FS-E712 to FS-E715). Ledger classification from the Tally group is a first guess; review in Chart of Accounts. Duplicates are skipped.
- **Manufacturing Account** with stock kinds and a cross-check to the Trading Account (FS-E716).
- Interest on capital and on drawings use months. Trial balance CSV import keeps voucher amounts. Audit log records old and new values of trial balance edits.
- **User Guide** tab and document.

What is new in version 3.6

- **Voucher Entry (ERP style).** Tabs: Voucher Entry, Day Book and Ledger Account sit between Chart of Accounts and Trial Balance.
  1. Choose the voucher type: Receipt (money in), Payment (money out), Contra (cash and bank transfers), Sales, Purchase, Credit Note (sales return), Debit Note (purchase return) or Journal Voucher (free debit and credit lines).

2. For all types except the journal voucher, choose the main account (cash or bank, customer or supplier) and add one line for each ledger with its amount. The main account is posted for the total.
3. Enter the date (inside the financial year), reference or bill number and narration. Press Save or Ctrl+Enter. The number is given automatically, by type and year.
4. The voucher posts into the Trial Balance movement columns at once. Opening balances are still entered in the Trial Balance or carried forward from the previous year.
5. To change a voucher press Edit in the register; the old posting is reversed and the new one applied, and the audit log keeps both. To withdraw a voucher press Cancel and give a reason. Vouchers are never deleted.
6. Day Book lists every posted voucher for a period and can show the ledger lines. Ledger Account shows one ledger with opening balance, each voucher, a running balance and the closing balance. Both export to PDF, Excel and CSV.
7. Voucher Entry is meant for day-to-day entries. Year-end adjustments for the final accounts (depreciation, closing stock, provisions) are still made in Journal Adjustments, which stay separate from the books.

- **Audit log.** Enter your name at the top of the Audit Log tab; it is recorded with every change. Trial balance edits and vouchers show the old and new values. Filter by date or text, and export to CSV for the auditor. "Checksums agree" means no entry has been changed, removed or inserted since it was recorded; otherwise FS-E812 appears. The checksum is a safeguard, not a legal guarantee.
- **Order of work:** Entity and year, Chart of Accounts, opening balances in the Trial Balance, vouchers during the year, Journal Adjustments at the end, statements, appropriation for firms, and the other accounts you ticked.

What is new in version 3.5

- **Profit and Loss Appropriation Account** (partnership firms and LLPs). Tab: P&L Appropriation.
  1. Add the partners and their profit share (must total 100). Tick "Working partner" where the deed allows remuneration.
  2. For the year enter: opening capital (or press the button to take last year's closing), capital introduced, drawings, remuneration, interest on drawings, and the interest rate on capital (12 percent is the default). A different interest base can be entered per partner.
  3. The account shows net profit after tax, interest on capital, remuneration, transfer to reserve and the share of each partner. It is available in the account (Dr and Cr) format and the vertical format, and can be prepared as a final report.

4. **Partners' Capital Accounts** shows each partner's movement and closing balance. The total must agree with the balance sheet equity (FS-E406). Record drawings, interest and remuneration in the ledgers too (for example in the partners' capital ledger), otherwise the two will differ.
5. If your books already charge interest on capital or partners' remuneration as expenses, leave those amounts at zero here (FS-E408).
6. Section 40(b) check: interest on capital above 12 percent, remuneration above the ceiling (first 6,00,000 of book profit: higher of 3,00,000 and 90 percent; balance 60 percent) or paid to a non-working partner is flagged (FS-E409). It is a tax indication only.

- **T-form statements.** On the Balance Sheet and Profit and Loss screens choose "Statement layout": Vertical (default) or T-form. The Trading Account and the Appropriation Account have their own format choice. A company should keep the vertical form for statutory statements (FS-E811).
- **Formats and regulations.** Companies: Schedule III (Division I or II, as set in the profile). Non-company entities: vertical layout with current and non-current classification and previous-year comparatives, following the ICAI Guidance Note on Financial Statements of Non-Corporate Entities (periods beginning on or after 1 April 2024) as described in published summaries. LLPs: the ICAI guidance for LLPs and Form 8 are not built in. Check each statement against the Guidance Notes before statutory use.

What is new in version 3.4

- **Save button.** Always visible in the header and as a floating button at the bottom right. Ctrl+S does the same. A star shows unsaved changes; a red mark with FS-E809 means the browser refused to save (free space, or private browsing). Work is also saved automatically a moment after each change.
- **Business activity at entity creation.** Required (FS-E108). Existing entities show a prompt until it is chosen.
- **Trading and Profit and Loss Account.** A new tab for trading businesses, after Profit and Loss. Opening stock, purchases (net of returns) and direct expenses on the debit side; sales and closing stock on the credit side; gross profit carried down; indirect expenses and other income below it, ending in net profit. Choose the account format or the vertical format with previous year. Net profit must equal the Profit and Loss statement (FS-E405). Exports to PDF, Excel and CSV and can be selected as a final report.
  - **Closing stock helper:** type the closing stock value and press Post. One journal brings the stock ledger to that value. Posting again replaces it; Remove deletes it. Next year opens with that stock.
  - **Direct expenses** are the ledgers with the Direct expense flag. Opening stock is derived from the "Changes in inventories" line plus closing stock.
- **Tick-boxes for Provisional, Estimated and Projected accounts** on the entity form; unticked screens are hidden. Existing entities keep the screens they

already had.
- **Opening balances (checked).** Closing balances of the previous year's balance sheet ledgers, including journals, depreciation and closing stock, are the next year's opening balances. If the previous year is changed later, an alert (FS-E104) offers to bring the opening balances up to date. The previous year's profit moves to the equity ledger you chose.

What is new in version 3.1 (report presentation)

- **Report Settings** screen: company logo, authorised signatories (name, designation, DIN or membership number), place and date of signing, per entity.
- **Heading:** proprietorship reports show the proprietor name (field added on the entity), with "Trading as" and the PAN and GSTIN beneath, as in your sample; other entities show the entity name.
- **Signature wording:** "For " (proprietorship: trade name, else legal name), then the authorised signatory name and designation below the signing line.
- **Signature block** at the end of every report (PDF, Excel, CSV, screen). With no signatory set, an empty block is printed for hand signing.
- **Logo:** reports carry no Techmin logo. Your own company logo is optional: upload it in Report Settings and it prints top left on every PDF page.
- **Footer:** "Generated using Indian Financial Statements Studio by Techmin Wealth Partners", the date, and the not-audited note, on every page.
- **Column headings** no longer get cut off ("Year ended 31-03-2027" wraps to two lines).
- **Comparatives:** first year shows the current year only; from the second year the balance sheet, profit and loss, cash flow, changes in equity and notes show current and previous year. New codes FS-E403, FS-E803, FS-E804, FS-E805.

What is new in version 3.0

- **Automatic opening balances.** Closing balances of all balance sheet ledgers (assets, closing stock, capital accounts, liabilities, other assets and liabilities), including posted journals, become the next year's opening balances. The previous year's profit or loss goes to the equity ledger you choose. A later change in the previous year flows forward. Use Lock on the Trial Balance screen to keep figures you typed yourself. If you typed openings that differ, the differences are listed (FS-E104) and nothing is overwritten until you choose Carry forward.
- **Taxes screen.** Current tax (company, firm or LLP, individual and other regimes), surcharge with marginal relief, cess, MAT, loss carry-forward (business loss 8 years, unabsorbed depreciation without limit), tax paid. Deferred tax under AS 22 or Ind AS 12, with tax rate change effect, losses with an evidence test, MAT credit and OCI portion. Tax reconciliation. Journals post

only the difference, so posting twice never doubles the entry. If you already booked tax by hand, reverse it first.
- **Depreciation.** Companies Act Schedule II lives, extra-shift loading, residual value above 5% and life differences are flagged until a reason is recorded. Income tax: 180-day rule (full or half rate), additional depreciation, short-term capital gain or loss, block cessation. A table classifies every asset by days of use under both Acts.
- **Alerts and error codes.** Differences and problems appear as they arise, with a code (FS-E101 and on), amounts, meaning, cause and solution. See Help and Error Codes.
- **Insights.** Rule-based review of the figures, and optional AI commentary using your own API key after your consent (figures only, no names).
- **Schedule III additional regulatory information** checklist and explanations for ratio changes above 25%.
- **Release notes** are inside the software.

Limitations (please read)

- Rules: the library was read from published sources on 26 Oct 2026. Entries marked Checked or Verified are better supported than those marked Not verified, but none is a legal opinion. Tax rates and thresholds change every year; confirm before filing.
- Not supported: banks, insurers and other regulator-prescribed formats (RBI, IRDAI and similar); filing of returns. Tally import reads Tally XML files; it does not connect to a running Tally.
- Consolidation: foreign currency translation and part-year acquisitions are not handled. Deferred tax on consolidation eliminations is not computed automatically; enter it as a temporary difference.
- Projections: tax is charged on positive monthly profit; loss carry-forward is not modelled in projections (it is in the Taxes screen).
- Tax computation covers the common heads of business income and short-term gains on depreciable assets. Other heads, special-rate incomes and detailed deductions are entered as add-backs or deductions by you.
- Disclosure checklists are generated from your answers and are not exhaustive.
- AI commentary calls an outside service with your key and has not been tested against your account by the developer.
- Reports are not audited or certified. Professional review is required before statutory use.

- Vouchers: the studio is single-user. There is no maker-checker approval, bill-wise outstanding, GST return or stock-item (quantity) accounting. After a trial balance CSV import the voucher amounts are kept; FS-E615 appears only after manual edits to voucher-affected ledgers. The audit checksum chain does not stop someone who rewrites the whole backup file.
- Appropriation: interest on capital is simple interest on the base you give; it is weighted by months (not days) for capital introduced and drawings. Limits in Section 40(b) are indicative; the tax computation is separate. The studio does not post the appropriation as journals; the partners' accounts statement is a schedule checked against the balance sheet.
- ICAI formats: the line-by-line illustrative formats of the Guidance Notes for non-corporate entities and for LLPs, and LLP Form 8 (Statement of Account and Solvency), are not built in.
- For companies, the Schedule III Profit and Loss remains the statutory statement; the Trading Account is supplementary.
- Closing stock is the value you enter. The studio does not value stock (cost or net realisable value, whichever is lower, is your responsibility).
- Provisional, estimated and projected accounts depend on the current year statements and on the assumptions you enter; they are labelled as such and are not audited.
- Data lives in the browser: download backups regularly. Use the Save button before closing the tab.
- Schedules: a changed schedule figure intentionally disagrees with the statement and is flagged (FS-E711). It does not change the books.
- Tally: only XML exports are read; voucher shapes beyond the simple ones become Journal Vouchers; bill-wise details, stock items, GST details and cost centres are ignored.